

and can result in making bad moves. If a falling stock price scares you, you might be tempted to sell with a few keystrokes on your computer. Without the benefit of having a broker, there is no one to talk you out of making a bad move. Turning the computer off or vowing not to check your account every day is another way to cut down on excessive trading.

With more and more people taking charge of their own finances, more mistakes than ever are being made. Charles Schwab, the largest online broker, estimates that 50 percent of their new customers are considered to be unseasoned and inexperienced. Whether it's a lack of doing sufficient research (e.g., the company's track record, the tax consequences) or being confused by conflicting analyses, many investors just hope and pray they have made the right choice. For most, the reality is not what they hoped and prayed for. In fact, it is estimated that only one out of ten day traders make more money than they lose. At the bare minimum, newer investors should become knowledgeable by familiarizing themselves with common stock market terms:

- **AMEX**—the American Stock Exchange, which is one of the organized stock markets in New York City.
- **Annual Report**—the annual statement published by a corporation after the close of the fiscal year. The annual report includes the balance sheet and profit and loss statements of the proceeding and current years.
- **Asked (or Offer) Price**—the price that sellers are willing to accept for a particular stock at a given time.
- **At the Market**—an order to buy and sell a stock at the best price currently available.
- **Auction Market**—the type of market found in organized stock exchanges. As in an auction, stocks are sold to the person willing to pay the highest price and purchased from the person willing to sell for the lowest price.

